

RECORDATI S.p.A. (BIT: REC) — Investment Committee Summary

Independent LBO underwrite of the €10.7bn CVC IX / GBL take-private | v3 | 18 July 2026 | Tanmay Gambhir | Workbook:

Recordati_LBO_Model.xlsx

(Source of truth: live workbook. All figures tie to `00 Executive Summary` / `10 Returns`.)

Recommendation

PARTICIPATE selectively as a co-investor (6/10). Base: **~15.0% IRR / ~2.01x MOIC** (12.6x entry on close-date net debt; 12.9x on FY25A gross, announced basis; 5.5x leverage, 11.5x exit, BD €400m/yr 2027–2030). **No-BD conservative floor ~15.1%.** Sponsor-consistent read (entry-flat 12.9x exit): **~18%.** Full thesis (12.9x + 6.0x leverage + bull ops): ~24%. Decline as a standalone 20%+-hurdle underwrite. For minorities: tender — €51.29 certain cash beats underwrite risk without control rights. Bear ~4% / Bull ~24%.

Business & Deal

Two businesses on one P&L: Specialty & Primary Care (~€1.54bn, +2–3%, the bond — brand/distribution cash cow) funding Rare Diseases (~€1.08bn, +29.7% in 2025, the equity — orphan pricing power, US-led, Isturisa peak-sales doubled to >€1.2bn in Nov-25). Deal: €51.29/share ex-div (€52.00 cum), €10.73bn equity, EV ~€12.49bn = **12.6x FY25 EBITDA on close-date net debt (12.9x on FY25A gross)**, 12.89% premium (low — Rossini's 46.82% pre-committed). Effectively a CVC VII → CVC IX continuation with GBL co-control and ADIA/CPIB/PSP/StepStone co-invest. Critical precedent: CVC VII entered 2018 at €28.00 = the same 12.9x — eight years, zero multiple expansion, all return from EBITDA doubling plus dividends.

Model Economics (base)

Item	Value	Item	Value
Entry EV / FY25 EBITDA	12.6x close / 12.9x announced	Exit EBITDA (2031E, incl. BD)	~€1,593m
Debt / equity at close	€5,451m / ~€7,585m	Net debt at exit	~€3,066m (1.9x) ¹
Year-1 interest coverage	~3.2x	Debt paydown over hold	~€2.1bn
MOIC bridge	+1.00x growth, +0.28x delever, -0.23x mult, -0.04x fees	IRR / MOIC	~15.0% / ~2.01x

¹ BD-funded base exits at ~1.9x because €1.6bn of BD spend comes out of the sweep; the **no-BD floor** deleverages to ~€1,489m (~1.0x). Entry net debt refinanced is bridged from FY25A €2,037m to a close-date estimate ~€1,750m (2026 FCF less dividends) — L-confidence.

Structure: TLB-EUR (E+375) + TLB-USD (natural hedge on US RD revenue) + senior secured notes 6.75% bullet; 1% amort + 100% sweep; €500m undrawn RCF. 2026E EBITDA lands inside guidance (checked). Maintenance capex only 1.5% of revenue — the growth engine runs through the intangibles line (Enjaymo €815m, 2024).

BD Value-Creation Decomposition (the v3 correction)

No-BD floor ~15.1% IRR. **Funding BD €400m/yr adds ~0 to -0.1pt** — the 9x-in / 11.5x-out multiple arbitrage is almost exactly offset by interest drag on un-swept cash plus forfeited deleveraging (BD grows MOIC *dollars*, not the *rate*). **Exit at entry-flat 12.9x adds +2.9pt.** The exit multiple is ~100% of the sponsor-consistent case; the earlier "entry-flat exit OR funded BD" framing was wrong — they are not substitutes, and the "OR" is deleted. (2031 exit-year BD spend removed: it would have bought EBITDA only in 2032, post-exit; cumulative BD is €1.6bn at a true 9.0x effective.)

Risks

(1) Exit-multiple compression toward Ipsen's 8.4x — dominant: at 10x exit IRR is low single digits (~4%); (2) Isturisa (~35–40% of RD, est.) vs Corcept's relacorilant; (3) FY26 margin guide-down (37.8%→36.5%) proving structural rather than investment/FX; (4) US pricing policy and tariffs; (5) SPC decay acceleration; (6) adverse selection — the best-informed seller chose to sell (mitigated by chairman rollover and new institutional checks; priced via our exit haircut).

Independent Model vs Actual Deal — What Explains the Gap

Our €5.45bn debt sits at the bottom of the reported €5.5–6.0bn package; entry multiple identical (deal fact). The gap to the sponsors' ~18% is almost entirely **the exit multiple** we deliberately haircut: entry-flat 12.9x exit = **+2.9pt** (the dominant lever). Funded BD redeployment is close to IRR-neutral (their base, our bull — it lifts MOIC, not the rate); 6.0x opening leverage adds ~1pt; Isturisa underwritten to its raised >€1.2bn peak adds 2–3pts of EBITDA CAGR. Conclusion: at our conservative floor the deal clears mid-teens; their return case requires holding the multiple at entry — which is precisely why the asset went to the sponsor who has run it since 2018.

What Changes My Mind

Positive: relacorilant failure; offer document showing cheaper debt; first post-close bolt-on below 9x. Negative: FY26 margin below 36%; Isturisa US deceleration; exit-window deterioration 2030–31. **Red-team / version revisions applied:** three-case framing (our base labelled a conservative floor, not a midpoint); BD value-creation decomposed (BD ≈ 0pt vs exit-multiple +2.9pt); 2031 exit-year BD bug fixed; entry net debt bridged to close-date; single-flow IRR noted as conservative vs recap optionality (~+1pt); 7-year continuation-hold deferred pending recap + cash-interest-on-excess modeling.